**Futball 66 – Possible impairment**

Sales of Futball Version 10 have been disappointing (2,100k actual versus 2,500k prior year). **(1 mark)** With new competitors entering the market there is a risk that sales will continue to fall which could lead to the game being overvalued in the statement of financial position and an impairment needed. **(2 marks)**

**Futball 66 – Capitalisation**

Customers have been complaining about bugs in Version 10 and Project Zero aims to fix these bugs and upgrade the game. **(1 mark)** There is a risk that the bug fix element of these development costs does not qualify to be capitalised as it does not give rise to any additional future economic benefit and therefore any amounts capitalised for the upgrade will be overvalued. **(2 marks)**

**Crickt 23 Version 7 – Amortisation**

The current amortisation rate of five years is not aligned to major upgrades every three years. **(1 mark)** There is a risk that the development costs amortisation is not aligned to the period of benefit to Carmichael. **(1 mark)**

**Golf 80 Version 2 – Possible impairment**

Current year sales are less than half the prior year. **(1 mark)** Some of this shortfall in sales is due to software flaws that were fixed when Version 2 was launched during the year. As major upgrades will be required every three years, there is a risk that future sales do not support the carrying value of Golf 80 and that carrying value is therefore impaired. **(2 marks)**

**Golf 80 Version 2 – Lawsuit**

Joanna Becks' lawsuit indicates Carmichael may not have her image rights for Golf 80 and the company cannot continue to sell the product. **(1 mark)** Therefore, Carmichael may not be able to continue carrying value on its balance sheet for Golf 80 Version 2, meaning that intangible assets may be overstated. **(2 marks)**

As legal opinion is pending on this matter a contingent liability may need to be disclosed in the financial statements. **(1 mark)**

**Project Cloud 9 – Negative margin**

Based on budgeted annual sales of 2,000k units, the boxing game is forecast to make a negative gross margin of 8%. **(1 mark)** There is a risk of impairment if the costs are

capitalised and there may be insufficient future cashflows to support the carrying value. **(2 marks)**

**Project Underground – Suspended development**

In March 20X7 the board suspended further development of this game due to technical difficulties. Costs of £1.1m have been incurred. **(1 mark)** Company policy is to remove capitalised costs relating to discontinued games once physical production ceases. As this game's development has been suspended there is a risk that it will not enter production and therefore the carrying value is overstated in the statement of financial position. **(2 marks)**

**Advertising and promotional costs within design and development costs**

All the projects in design and development include costs relating to advertising and promotion costs which are not permitted under Carmichael's accounting manual or IAS 38. **(1 mark)** Therefore, there is a risk that capitalised costs for design and development are overstated. **(2 marks)**

**Total marks (24 marks)**